THE SPHINX FIB STRATEGY

A Mechanical Framework for Trading NQ Using Swing-Fib Logic

Version 1.0

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1. Introduction

The Sphinx Fib Strategy is a fully mechanical trading model designed specifically for the Nasdaq futures market (NQ). It uses swing-point logic, a minimum range filter, a directional EMA filter, and a custom Fibonacci framework to define entries, stops, and targets with zero discretion.

Objective: Trade one clean setup at a time with predefined rules, no guessing, and no emotional interference.

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2. Core Philosophy

The strategy is built on three principles:

- **Structure first:** Only completed swings matter.
- **Precision entries:** All entries are predefined by fib levels.
- **Mechanical management:** Stops, targets, and cooldowns are fixed.

This creates a system that is repeatable, teachable, backtestable, and emotion-resistant.

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3. Directional Bias: The 77 EMA Rule

Directional bias is determined before identifying a swing or drawing a fib.

- Price **above** the 77 EMA → *Long setups only*
- Price **below** the 77 EMA → *Short setups only*
- If price is crossing the EMA → require clear displacement:

- Strong candle close
- Break of structure
- No chop

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4. Sweep and Displacement Requirement

A valid setup begins with a liquidity sweep and displacement.

Requirements:

1. Identify a recent clear high or low.
2. Price must take out that high/low.
3. A candle must close beyond it (confirms displacement).
4. This begins the formation of a new swing leg.

Price closes above recent swing high

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5. Swing Identification Rules

A swing is valid only if:

- It forms a clear high → low or low → high structure.
- The total range is **at least 35 points**.
- The swing is completed (candles stop making new highs/lows).
- It follows a sweep + displacement event.

Once the swing completes, the fib set is drawn immediately.

Range > 35 points

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6. Fib Orientation Rules (Critical)

To keep all fib levels identical across long and short setups, the fib anchors flip depending on direction.

Long Setup

- **0 = Swing High**
- **1 = Swing Low**

Short Setup

- **1 = Swing High**
- **0 = Swing Low**

This ensures:

- Same fib numbers
- Same colors

- Same labels
- Zero mental flipping

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7. Fib Levels (Same for Long and Short)

These levels never change:

- **TP1:** 0.05
- **Aggressive Entry:** 0.297
- **Best Entry:** 0.45
- **Conservative Entry:** 0.559
- **Stop Loss:** 0.7
- **TP2:** -0.297

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8. Entry Logic

- Maximum **2 contracts** per trade.
- Valid entry zones:
  - Aggressive (0.297)
  - Best (0.45)
  - Conservative (0.559)
- If only 1 contract is used, TP1 ends the trade.
- No discretionary entries.
- No entries outside the fib zones.

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9. Stop Loss Logic

- Stop loss is always placed at **0.7**.
- For shorts, this is automatically correct because the fib is flipped.
- Stops are never widened or adjusted early.

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10. Take Profit Logic

TP1

- Level: **0.05**
- If trading 2 contracts:
    - Close 1 contract
    - Move stop on remaining contract to breakeven

TP2

- Level: **-0.297**
- Final target for the second contract
- If only 1 contract is used, TP1 ends the trade

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11. Trade Management Rules

- Only one active fib set at a time.
- No overlapping setups.
- Once TP1 is hit:
    - Stop moves to breakeven
- Once TP2 or SL is hit:
    - Trade is complete
- No re-entries.
- No discretionary overrides.

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12. Cooldown Logic

After a trade completes (TP2 or SL):

- The fib set enters a cooldown period (user-defined duration).
- After cooldown, the fib is removed from the chart.
- The system waits for the next qualifying swing.

This prevents over-trading and keeps the model clean.

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13. Long Setup — Textbook Example

Breakdown:

1. Price above 77 EMA → long bias.
2. Recent high is swept.
3. Candle closes above the swept high → displacement.
4. Swing high → swing low completes (≥ 35 points).
5. Fib anchors: 0 = high, 1 = low.
6. Price retraces into Best Aggressive Entry (0.297).

7. TP1 hit → stop moves to breakeven.
8. TP2 hit → trade complete.
9. Cooldown begins.

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14. Short Setup — Textbook Example

Breakdown:

1. Price below 77 EMA → short bias.
2. Recent low is swept.
3. Candle closes below the swept low → displacement.
4. Swing low → swing high completes (≥ 35 points).
5. Fib anchors: 1 = high, 0 = low.
6. Price retraces into Best Entry (0.45).
7. TP1 hit → stop moves to breakeven.
8. TP2 hit → trade complete.
9. Cooldown begins.

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15. Common Mistakes

- Ignoring the 77 EMA directional filter
- Taking setups without a sweep
- Taking setups without displacement
- Drawing fibs before the swing completes
- Entering outside the fib zones
- Moving stops early
- Trading overlapping fib sets
- Skipping cooldown
- Taking more than 2 contracts

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16. Final Notes

The Sphinx Fib Strategy is designed to remove emotion and subjectivity from NQ trading. When followed mechanically, it produces consistent, structured opportunities with predefined risk and reward.

Your job is simple:

- Wait for the swing.
- Take the entry.
- Manage mechanically.
- Stop when the trade ends.